IN THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH

Company Application No. CA (CAA) No. 05/ALD/2021

Under Sections 230—232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the Matter of Scheme of Demerger of:

Ramaa Shyama Papers Private Limited, Village Rajau Paraspur, tehsil Faridpur, Bareilly Uttar Pradesh 243123 I

...Demerging/Transferor/Applicant Company No.1

WITH

Saptam Decor Private Limited, Industrial Plot No. B, Bhopa Road, Village Bhandura Muzaffarnagar 251001

... Resulting Company No.1/Transferee Company No.1/ Applicant Company No.2

AND

Arunprabha Enterprises Private Limited, 1704 Moh. Lahasavada ,Deoband UP 247554.

... Resulting Company No.2/Transferee Company No.2/ Applicant Company No.3

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

ORDER DELIVERED ON:24.03.2021

CORAM: Hon'ble Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

Appearance

Counsel for the applicants: Mr. Arul Saxena alongwith, Ms. Nalini,
Mr. Shivam Mishra and Mr. Rahul Singh (Advocates)

ORDER

Per: Hon'ble Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

1. This is an application filed by the Applicant Company under Section 230 to 232 and other applicable provision of the Companies Act, 2013 (for brevity "**The Act**") read with Companies (Compromises, Arrangements and

Amalgamation) Rule, 2016 (for brevity "**The Rules**") in relation to the Scheme of Demerger (for brevity the "**The SCHEME**") proposed between the Applicant Companies and their respective shareholders and creditors.

2. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230 (2) of the Act. We have been taken through the averments made in the application as well as typed set of documents annexed there with. It is further represented that the application filed by the applicants is maintainable in view of the Rule 3 (2) of the Rules and it is also represented that the Registered office of the applicant Companies are situated within the territorial jurisdiction of this Tribunal and fall within the domain of Registrar of Companies, Kanpur.

3. The Applicant submits that, Ramaa Shyama Papers Private Limited (Applicant Company No. 1/Transferor Company/Demerged Company), was incorporated on 02/08/1995 under the provisions of the Companies Act, 1956. The present Authorized Share Capital of the Demerged Company is Rs. 10,00,00,000 divided into 100,00,000 equity shares of Rs. 10.00 each. The present Issued, Subscribed and Paid-up Share Capital of the Demerged Company is Rs. 9,07,42,000 divided into 90,74,200 equity shares of Rs. 10.00 each. The registered office of the Demerged Company is presently situated at Village Rajau Paraspurtehsil Faridpur Bareilly Uttar Pradesh 243123.

4. It is submitted that the Transferor/Demerged Company has 76(Seventy Six) Equity Shareholders. Additionally, as on 31.08.2020, the Demerged Company has 4 (Four) Secured Creditor and 236 (Two Hundred Thirty Six) Unsecured Creditors. The consent affidavit from the 91.4% of Secured Creditors in value has been obtained.

5. The Demerged Company is seeking directions for convening and holding of meeting of Equity Shareholders and unsecured creditors. In respect of Secured Creditors, the Demerged Company has prayed for dispensation of meetings on the ground that 91.4% of the Secured Creditor who have given their consent affidavit in favour of the scheme.

6. The Applicant further states that, Saptam Decor Private Limited (Applicant Company No.2/Transferee Company No.1/Resulting Company No.1) was incorporated on 13/02/1995 as a Private Limited Company under the provisions of Companies Act, 2013. The registered office of the Resulting

Company No.1 is presently situated at Industrial Plot No. B, Bhopa Road, Village Bhandura Muzaffarnagar 251001. The Authorized Share Capital of the Transferee/Resulting Company No. 1 is Rs. 5,00,00,000 divided into 100,00,000 equity shares of Rs 5 each. The Issued, Subscribed and Paid-up Share Capital of the Resulting/Transferee Company No.1 is Rs. 3,33,94,875 divided into 66,78,975 equity shares of Rs 5 each.

7. It is submitted that the Transferee/Resulting Company No.1 has 15 (Fifteen) Equity Shareholders. As on 31.08.2020, the Resulting Company No.1 has two Secured Creditors and 101 Unsecured Creditors. The 100% of Shareholders and 99.38% of secured creditors in value of the Resulting Company No.1 have gave their consent affidavit.

8. In respect of meeting of the Shareholders and secured creditor, the Resulting Company No.1 seeks dispensation from convening and holding of the meeting on the ground that 100% of the total value of the shareholders and 99.38% of the unsecured creditors have given their consent affidavit in favour of the Scheme. The Resulting Company No. 1 seeks direction for holding and convening of the meeting of the unsecured creditors.

9. The Applicant further states that, Arunprabha Enterprises Private Limited (Transferee/Resulting Company No. 2), was incorporated on 15/02/2008 as a Private Limited Company under the provisions of Companies Act, 2013. The registered office of the Resulting Company No. 2 is presently situated at 1704 Moh. Lahasavada Deoband UP 247554. The Authorized Share Capital of the Transferee/Resulting Company No.2 is Rs. 100,00,000 divided into 10,00,000 equity shares of Rs 10 each. The Issued, Subscribed and Paid-up Share Capital of the Resulting Company No. 2 is Rs. 57,02,000 divided into 5,70,200 equity shares of Rs 10 each.

10. It is submitted that the Transferee/Resulting Company No.2 has 4 (Four) Equity Shareholders. As on 31.08.2020, the Resulting Company No. 2 has no Secured Creditor and no Unsecured Creditors. The 100% of Shareholders in value of the Resulting Company No.2 have given their consent affidavit.

11. In respect of meeting of the Shareholders, the Resulting Company No. 2 seeks dispensation from convening and holding of the meeting on the ground that 100% of the total value of the shareholders have given their consent affidavit in favour of the Scheme. Further, as there are no secured

and unsecured creditors in the Resulting Company No. 2 therefore the need for convening and holding of meeting does not arise.

12. We have perused the joint application and the connected documents/ papers filed by the Applicants including the Scheme of Demerger as contemplated between the Applicant Companies.

13. It is seen that the Board of Directors of the Demerged Company vide meetings held on 22.10.2020 and Resulting Companies No.1 and 2 vide meetings held on 20.10.2020 have approved the proposed Scheme of Demerger. Copies of such resolutions passed thereat have been placed on record by the Applicant Companies.

14. All the Applicants have also filed their respective Memorandum and Articles of Associations. The Applicants have further filed their audited financial statements for the year ending on 31.03.2020 and provisional financial statement as on 30.09.2020.

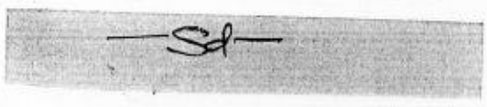
15. It is submitted that the proposed Demerger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and that if the same is sanctioned by the Tribunal, the appointed date as provided in the Scheme shall be 01.04.2020. All the Applicant Companies have submitted that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under any other law is pending against any of the Applicant Companies.

16. Certificates of the respective statutory auditors of all the Applicant Companies have been placed on record confirming that the accounting treatment in the Scheme is in conformity with Section 133 of the Companies Act, 2013.

17. Further, it has been stated in the application that the Scheme will be beneficial to all the Applicant Companies and their respective shareholders, employees, creditors and other stakeholders.

18. In the facts and taking into consideration the application jointly filed by the Applicant Companies, the following directions are issued:-

A. **In relation to the Transferor/Demerged/Applicant CompanyNo.1:-**



i. The meeting of the Equity Shareholders of the Transferor/Demerged Company is directed to be held at Shri. Food Studio near arpan banquet, Mahaveer Chowk, Muzaffarnagar UP-251002 on Saturday, May 08, 2021 at 11:00 A.M. The quorum of the meeting shall be as per sec 103 of the Companies Act, 2013.

ii. The meeting of the Unsecured Creditors of the Transferor/Demerged Company is directed to be held at Shri. Food Studio near arpan banquet, Mahaveer Chowk, Muzaffarnagar UP-251002 on Saturday, May 08, 2021 at 12:00 Noon. The quorum of the meeting shall be as per sec 103 of the Companies Act, 2013.

iii. Since it is represented by the Demerged/Transferor Company that 91.4% of Secured Creditors in the Company have already placed their consent in form of affidavits, the nccessity of convening and holding a meeting is dispensed with.

B. **In relation to the Transferee Company No.1/Resulting Company No.1/Applicant Company No. 2:**

i. The meeting of the Equity Shareholders of the Resulting Company No.1 is dispensed with because 100% of the shareholders have already placed their consent in form of affidavits, the necessity of convening and holding a meeting is dispensed with.

ii. The meeting of Secured Creditors is dispensed with because 99.38% in value of the Secured Creditors of the Resulting Company No. 1 have already placed their consent in form of affidavits, the necessity of convening and holding a meeting is dispensed with.

iii. The meeting of the Unsecured Creditors of the Resulting Company No. 1 is directed to be held at Shri. Food Studio near arpan banquet, Mahaveer Chowk, Muzaffarnagar UP-251002 on Saturday, May 08, 2021 at 2:00 P.M. .The quorum of the meeting shall be as per sec 103 of the Companies Act, 2013..

C. **In relation to the Transferee Company No.2/Resulting Company No.2/Applicant Company No. 3:**

i. The meeting of the Equity Shareholders of the Resulting Company No.2 is dispensed with because 100% of the shareholders have already placed their consent in form of affidavits, the necessity of convening and holding a meeting is dispensed with.

ii. The meeting of Secured Creditors is dispensed with because there are no Secured Creditors in the Resulting Company No. 2 and therefore the requirement of convening a meeting of Secured Creditors does not arise.

iii. The meeting of Unsecured Creditors is dispensed with because there are no Unsecured Creditors in the Resulting Company No. 2 and therefore the requirement of convening a meeting of Unsecured Creditors does not arise.

19. ***Mr. Sanjay Goswami (Advocate) (Mobile No. 9415324793)*** is appointed as Chairman and with ***Mr. Ajit Ray (Advocate) (Mobile No. 9415284910)*** as alternative chairman and ***Mr. Monica Nanda (Practicing Company Secretary) (Mobile No. 9984254321)*** as scrutinizer. The chairman and alternative chairman shall be paid Rs. 75,000 as honorarium while as scrutinizer will be paid Rs.50,000 . Apart from above remuneration, the Applicant Company shall make necessary and proper arrangement for travel/transport, stay and other allied expenses.

20. In case the quorum , for the aforesaid meeting is not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with registered office of the Applicant Companies at least 48 hours before the meetings. The Chairperson and alternate Chairperson appointed herein along with the Scrutinizer shall ensure that the proxy Registers are properly maintained.

21. . The Chairperson will file its report within a week from the date of holding of the aforesaid meeting. The fees of Chairperson, Alternate Chairperson and Scrutinizer along with the travelling expenses and other out of pocket expenses shall be borne by the Applicant Companies. A copy of this order shall be supplied to the learned counsels for the Applicant Companies who in turn shall supply a copy of the same to the Chairperson, Alternate Chairperson and the Scrutinizer.

22. Individual notices shall be sent to the shareholders and unsecured creditors as above by the Applicant Companies through email or through registered post or speed post or courier services, as available considering the present circumstances due to the COVID-19 pandemic ,30 days in advance before the

scheduled date of meeting, indicating the day, date, the place fixed for and time of meeting as aforesaid, together with a copy of Scheme and copy of explanatory statement as required under the Companies Act, 2013 and the Rules, along with the proxy forms and any other documents as may be prescribed under the Act, be provided free of cost.

23. The Applicant Companies shall publish an advertisement at least 30 clear days before the aforesaid meetings, indicating the day, date and the place fixed and time of meetings as aforesaid, to be published in "Business Standard" (English) and "Business Standard" (Hindi), Lucknow edition. The Applicant Companies shall also publish the notice on their websites, if any.

24. The Chairperson shall be responsible to report the results of the meetings to the Tribunal in Form No. CAA 4, as per Rule 14 of the Rules within 7 (seven) days of the conclusion of the meetings. The Chairperson shall be assisted by the authorized representative/ Company Secretary of the Applicant Companies and the Scrutinizer, who will assist the Chairperson and Alternate Chairperson in preparing and finalizing the reports.

25. The Voting Shall be allowed on the proposed Scheme by Voting in person or by proxy, as may be applicable for the meeting of Shareholders of Applicant Companies in terms of the provisions of the Companies Act, 2013 and Rules framed there under. Notice of the application shall also be served on the, Regional Director, Northern Region, Ministry of Corporate affairs, Registrar of Companies, Kanpur and Income Tax Authorities, the Notices to Income Tax authorities shall disclose sufficient details like PAN Card numbers, ward Numbers and assessing officers so that timely and proper reply may be filled.

26. The Applicant Companies further shall furnish a copy of the Scheme (together with the explanatory statement), free of charge, through email, within 1 day of any requisition for the Scheme made by every member of the Applicant Companies entitled to attend the meetings as aforesaid.

27. The authorized representative of the Applicant Companies shall furnish affidavits stating that the directions of this Tribunal in relation to service of notice of meetings and publication of advertisement has been complied with at least one week before the proposed meetings.

28. All the aforesaid directions are to be complied with in accordance with the applicable law, including forms and formats contained in the Rules as well as

the provisions of the Act by the Applicant Companies and as directed by this Tribunal.

The application stands allowed in the aforesaid terms.

— Sd —

JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 24.03.2021
Swati Gupta
(LRA)